

2-2 Double-Entry Accounting System

All businesses use what is called the

Objective 2 - Describe and illustrate journalizing transactions using the double-entry accounting system.

double-entry accounting system (A system of accounting for recording transactions, based on recording increases and decreases in accounts so that debits equal credits.)

. This system is based on the accounting equation and requires:

- Every business transaction to be recorded in at least two accounts.
- The total debits recorded for each transaction to be equal to the total credits recorded.

The double-entry accounting system also has specific

rules of debit and credit (In the double-entry accounting system, specific rules for recording debits and credits based on the type of account.)

for recording transactions in the accounts.

Link to Apple

Apple records transactions using generally accepted accounting principles and double-entry accounting.